- **Rationalization of coal linkage sources** of State/Central Gencos and IPPs with a view **to optimize transportation cost** has been allowed.
- **Introduction of Time of Day (ToD) Tariff:** TOD tariffs comprise of separate tariffs for peak hours, Solar hours and normal hours. Since solar energy is already cheaper than conventional energy, we are empowering consumers to shift their load to sun light hours and save as much as 20% of their electricity bills.

**Q | Earlier the power system was not viable. Thousands of MWs were under stress. What did you do to turn around the power sector?**

You are right. Before I joined the power sector was under stress. The AT&C losses were 27%. Outstanding dues of GENCOs for the power supplied had touched 1.40 lakh crores. About 60,000 MWs power generations capacity had gone under stress. We took the following steps:

- We put in place Rules to ensure that the tariffs are up-to date.
- State Governments used to announce subsidy and direct the DISCOMs to give the subsidy to the consumers but did not pay the DISCOMs for the subsidy given. We put in place Rules to ensure that the subsidy payable by State Governments to DISCOMs is adequately calculated and paid on time. We have also linked subsidy payments to DISCOMs with the disbursement of grants under RDSS & other Central Government schemes.
- We put in place Rules to ensure that the tariff is cost reflective and no revenue gap is created by the SERCs.
- We have made energy accounting compulsory. Energy audit is also compulsory now – the loss prone areas are promptly identified and addressed.
- We have reduced the late payment surcharge from 18% to 12%.
- We have made grant of loans by PFC and REC conditional. Now DISCOMs which are making losses are not eligible for getting loans from REC and PFC unless they draw up a plan to reduce their losses, get their State Governments concurrence to it and file it with the Ministry of Power, Govt. of India.
- We have a scheme called RDSS for financing DISCOMs to revamp their distribution systems. Sanction from RDSS is conditional on :-
  - Subsidy declared has to be paid
  - Government Departments dues have to be paid.
  - Energy Accounting and Energy Audit are upto date.
  - Tariff has to be update
- We have put in place Rules to ensure that all power purchase cost are paid promptly by DISCOMs to GENCOs. If the DISCOMs default, their connectivity to the power market is cut off automatically and in case of further delays their long-term access is also reduced by 10% per month. For legacy dues we have made installments.
- As a result of all these; the situation now is that all current dues of GENCOs have been paid upto date; and the legacy dues have come down from Rs.1.4 lakh crores to Rs. 44,000 crores.

As a result of all these, **Overall AT&C loss of the country is now at 15.40%**: down from 27% in 2014. Nobody believed that this was possible; but we did it. Now, we shall bring it down to 12%.

**Q | What are the other Reforms put in place?**

We have addressed the whole gamut:

- **Rights of Electricity Consumers:** We promulgated the Electricity (Right of Consumers) Rules 2020 with the conviction that the power systems exist to serve the consumers and the consumers have rights to get reliable services and quality electricity.
  - **Consumers** in metros cities are to **get connection** in just **3 days**, in suburban towns in **7 days**, and in villages in **15 days.**
  - **Only two documents are required for connection** up to a load of 10 KW and no estimation of demand charges for loads up to 150 KW.
  - Any violation of time lines leads to penalties.
  - **Consumer Grievance Redressal Forum** have been set up at various levels starting from Sub-division **for ease of consumer grievance redressal.**
  - Gratuitous load shedding has been penalized.
- **General Network Access:** We have simplified the Rules for transmission connectivity. Now, any entity can get connected to the Inter State Grid at any point – and buy or sell power to any entity across the country.
  - **Green Open Access Rules:** Now any consumer with a minimum requirement of 100 KW load can join the RE revolution in the country thereby making themselves greener.
  - **Now consumers**, having a minimum quantum of load and Energy Storage Systems (ESS) **are allowed to establish, operate and maintain dedicated transmission lines** themselves without the requirement of a license.
  - Now, if any PPA holder does not schedule power, the generator is required to sell it to the exchange, and the surplus goes to reduce the fixed costs.

All these rules & initiatives have eased the way business is being done in the Indian Power sector. The confidence among investors is evident from the fact that the Power Sector has seen an investment of Rs. 17 lakh crores during the last 10 years and another Rs. 10 lakh crores is expected to happen in the next 5 – 7 years.

**Q | Minister, could you elaborate on the measures implemented to revitalize the hydro sector.**

The hydro sector was moribund before our government came to office. We put in place measures to recharge it. The steps taken, in brief are as follows :

